Comprehensive Legal and Fiscal Analysis of Cryptocurrency Loss Carry-Forward Mechanisms and Cross-Border Taxation in Poland

1. Executive Summary and Scope of Analysis

The taxation of virtual currencies within the Republic of Poland represents a highly specialized and rapidly evolving domain within the broader framework of personal income tax (PIT). The regulatory environment, which was fundamentally restructured and codified by legislative amendments effective from January 1, 2019, actively isolates cryptocurrency transactions from traditional capital gains and standard business operations. This extensive research report provides a granular, exhaustive analysis of the fiscal mechanisms governing cryptocurrency losses, the unique cost carry-forward regulations, and the intricate cross-border tax implications for a taxpayer transitioning their primary tax residency from the Kingdom of Sweden to the Republic of Poland.

Based on a detailed, systematic examination of the Polish Personal Income Tax Act (Ustawa o podatku dochodowym od osób fizycznych), interpretative guidance issued by the Director of the National Tax Information (DKIS), and established administrative jurisprudence from the Provincial Administrative Courts (WSA) and the Supreme Administrative Court (NSA), the findings of this report categorically differentiate the fiscal treatment of virtual currencies from standard financial instruments. Crucially, the standard statutory limitations on loss carry-forwards—specifically, the 50% annual deduction limit and the 5,000,000 PLN absolute threshold dictated by Article 9 ust. 3 of the PIT Act—do not apply to cryptographic assets.[1] Instead, the Polish fiscal system employs a highly specific "perpetual cost rollover" mechanism detailed under Article 22 ust. 14-16, which permits the full, unmitigated extent of excess acquisition costs to be carried forward indefinitely. This highly favorable mechanism is, however, strictly contingent upon the taxpayer maintaining unbroken annual reporting compliance, even in years devoid of taxable revenue.[1]

Furthermore, the transition of tax residency from Sweden to Poland introduces significant jurisdictional firewalls and complexities governed by both domestic statutes and the bilateral Double Taxation Treaty between the two nations. Realized capital losses incurred while the taxpayer operated under Swedish tax residency are permanently extinguished and cannot be imported into the Polish fiscal system.[6] Conversely, the historical acquisition costs of unsold cryptographic assets—even those acquired while the taxpayer was a resident of Sweden—retain their full fiscal validity. These historical costs can be utilized to offset future taxable revenues realized in Poland, provided the taxpayer exercises extreme diligence to avoid

double counting and meticulously reconstructs their chronological tax history through the retroactive correction (*korekta*) of prior PIT-38 tax declarations.[6] The procedural execution of these rights is paramount, particularly as the impending implementation of the DAC8 directive will exponentially increase the evidentiary standards and transparency of cross-border cryptocurrency transactions.[2]

2. Legislative Framework and the Categorization of Cryptocurrency Income

To accurately comprehend the mechanics of the cost carry-forward system, it is first imperative to establish the foundational legal categorization of cryptocurrencies within the Polish tax code. The legislative intent behind the 2019 reform was to eliminate regulatory ambiguity and create a rigid, ring-fenced structure for the taxation of digital assets.

2.1. Categorization as "Monetary Capitals"

Under the prevailing provisions of the Polish Personal Income Tax Act, specifically Article 10 ust. 1 pkt 7 in conjunction with Article 17 ust. 1 pkt 11, revenues derived from the disposal of virtual currencies are explicitly and exclusively classified as revenues from "monetary capitals and property rights" (*kapitały pieniężne*).[2] This classification is subject to a flat capital gains tax rate of 19%, generally assessed annually.[2]

This specific categorization was implemented to resolve prior disputes regarding whether high-frequency cryptocurrency trading constituted an unregistered business activity. The current legislation definitively mandates that even if transactions are executed systematically, continuously, and in a manner fundamentally characteristic of an organized business operation, the revenues must still be settled under the "monetary capitals" source.[15] The sole exception to this rule applies to entities operating regulated financial institutions, such as cryptocurrency exchanges or institutional brokerages operating under anti-money laundering (AML) provisions, which report such income as standard corporate or business revenue.[15] For the individual retail investor or day trader, the isolation into the monetary capitals category is absolute.

2.2. The Principle of Absolute Source Isolation (Ring-Fencing)

A defining, structural characteristic of the Polish cryptocurrency tax regime is the strict principle of source isolation, commonly referred to in fiscal terms as ring-fencing. The revenues and costs associated with virtual currencies are entirely segregated from all other forms of capital gains, property rights, and general income streams.[1]

The practical tax implications of this isolation doctrine directly answer critical questions regarding the offsetting of broad capital losses:

- **Inability to Offset Traditional Capital Gains:** Cryptocurrency costs, or an excess thereof, cannot under any circumstances be utilized to offset gains derived from the sale of traditional equities, corporate bonds, mutual funds, state treasury bonds, or derivative

instruments.[1] The Polish tax code views traditional stocks and cryptocurrencies as fundamentally disparate assets operating in parallel but entirely sealed fiscal silos.

- **Inability to Offset Traditional Capital Losses:** Conversely, losses incurred on the traditional stock market (e.g., selling corporate shares at a deficit) cannot be utilized to lower the tax base of realized cryptocurrency gains.[1]
- **Inability to Offset Business Income:** Cryptocurrency losses cannot offset income generated from standard business activities, whether such activities are taxed on general progressive terms, a flat linear rate (PIT-36L), or a lump-sum tax on recorded revenues (*ryczałt od przychodów ewidencjonowanych* / PIT-28).[1] The legislation explicitly forbids the commingling of personal crypto trading deficits with sole proprietorship (JDG) operational revenues.

2.3. The Definition of a Taxable Event

To calculate gains and losses accurately, one must understand what triggers a taxable event under Polish jurisdiction. According to Article 17 ust. 1f of the PIT Act, a taxable event is triggered exclusively upon the conversion of the virtual currency into a recognized fiat currency (e.g., PLN, EUR, USD, SEK), or its utilization as a medium of exchange to acquire physical goods, services, or non-cryptographic property rights.[2]

Conversely, the exchange of one virtual currency for another virtual currency (e.g., trading Bitcoin for Ethereum, or converting a volatile altcoin into a stablecoin like USDT or USDC) is deemed entirely tax-neutral.[2] Such crypto-to-crypto swaps generate neither taxable revenue nor immediately deductible costs at the exact moment of the exchange. The fiscal obligation, and the corresponding cost deduction, are deferred entirely until the ultimate point of realization into fiat currency or tangible economic value.

3. The Mechanics of Cost Rollover versus Traditional Tax Losses

A pervasive point of confusion among taxpayers and non-specialized accountants regarding cryptocurrency taxation is the misapplication of general tax loss rules to virtual currencies. It is critical to dissect the statutory language of the PIT Act to understand exactly why the traditional limitations do not govern crypto assets.

3.1. The Misconception of the 50% and 5,000,000 PLN Limits (Article 9 ust. 3)

Article 9 ust. 3 of the PIT Act is the cornerstone provision governing standard tax losses (*strata podatkowa*) across most revenue sources in Poland.[3] Under this traditional provision, if a taxpayer incurs a formalized loss from a specific source of revenue (for instance, selling corporate equities at a net negative for the year), they are permitted to carry that specific loss forward to offset future gains from the exact same source for the subsequent five consecutive

tax years.[3]

When utilizing this classic loss carry-forward mechanism, the taxpayer is subjected to rigid statutory limitations:

- **The 50% Rule (Art. 9 ust. 3 pkt 1):** The taxpayer may deduct up to a maximum of 50% of the original, total loss amount in any single subsequent year. This forces the taxpayer to spread the loss deduction over a minimum of two profitable years.[18]
- **The 5,000,000 PLN Rule (Art. 9 ust. 3 pkt 2):** Introduced as a newer modernization, this allows the taxpayer to utilize a one-time deduction of up to 5,000,000 PLN from the loss pool in a single year, with any remaining un-deducted amount reverting to the 50% rule for the remainder of the five-year period.[18]

Crucially, the Polish Ministry of Finance explicitly excluded virtual currencies from the mechanisms outlined in Article 9 ust. 3. In the strict legal context of cryptocurrencies, the Polish legislator does not recognize the existence of a "tax loss" as defined by this article.[4] Because a legal "loss" does not exist for crypto, the 50% and 5,000,000 PLN limitations are wholly inapplicable.[1]

Standard Capital Gains vs. Cryptocurrency Tax Mechanics in Poland

Tax Evaluation Criteria	Traditional Capital Gains Stocks, Bonds, Investment Funds	Cryptocurrencies Bitcoin, Ethereum, Virtual Currencies
Applicable PIT Form	PIT-38	PIT-38
Definition of Negative Result	Tax Loss (Strata podatkowa)	Excess of Costs over Revenue (Nadwyżka kosztów uzyskania przychodów)
Carry-Forward Time Limit	Up to 5 years ✗ Expires after 5 consecutive years	No time limit ✓ PERPETUAL ROLLOVER ADVANTAGE
Annual Deduction Limit	50% per year or 5M PLN ✗	No limit ✓ Full excess amount carried forward
Offset Against Other Capital Gains	Allowed ✓ Within the same capital transactions category	Strictly Isolated ✗ Crypto costs/revenues cannot be mixed with stocks

Comparison of Polish Personal Income Tax (PIT) treatment for traditional financial instruments versus virtual currencies, highlighting the perpetual rollover advantage of cryptocurrency costs.

Data sources: e-pity.pl, Litigato, Dudkowiak, Szlachetna Paczka

3.2. The Article 22 ust. 15 Paradigm: Infinite Cost Carry-Forward

The true governing provision for cryptocurrency deductions is found under Article 22 ust. 14, 15, and 16 of the PIT Act. Rather than utilizing a loss mechanism, the Polish system operates on the continuous calculation of revenues against specifically tailored tax-deductible costs. Article 22 ust. 15 establishes the "cost rollover" mechanism, which is fundamentally superior for the taxpayer.[2]

The legal mechanism operates as follows: if, at the conclusion of a given tax year, the strictly documented costs of acquiring virtual currencies (coupled with the direct, transactional costs

of their disposal) exceed the fiat revenues generated from the sale of virtual currencies, the resulting negative mathematical figure is legally termed an "excess of costs of obtaining revenues over revenues" (*nadwyżka kosztów uzyskania przychodów nad przychodami*).[1]

The statute explicitly mandates that this excess is automatically carried forward and added to the pool of tax-deductible costs for the immediately subsequent tax year.[15] Consequently, the mathematical realities of the crypto tax framework dictate that:

1. **The Absence of Annual Percentage Limits:** The 50% deduction limit is entirely void. If a taxpayer possesses an accumulated cost surplus of 15,000 PLN at the end of 2025, the entirety of that 15,000 PLN can be applied to offset gains in 2026.[1]
2. **The Absence of Absolute Caps:** The 5,000,000 PLN one-time utilization limit does not restrict the deduction of cryptocurrency costs. A taxpayer with 10,000,000 PLN in rolled-over costs could theoretically utilize the entire sum in a single subsequent year if their revenues matched that figure.
3. **Perpetual Validity (No Expiration):** Unlike a standard tax loss under Article 9 ust. 3 which permanently vanishes if unutilized after five years, an excess of cryptocurrency costs rolls forward indefinitely, year after year, until it is completely absorbed by future fiat revenues.[1] The taxpayer may effectively hold these accumulated costs on their annual tax declarations for decades if no taxable sales occur, without forfeiting the fiscal advantage.

3.3. Definition of Eligible Tax-Deductible Costs

To successfully execute this perpetual rollover, the costs claimed by the taxpayer must rigorously qualify under the definitions set forth in Article 22 ust. 14 of the PIT Act. The legislation and subsequent interpretations by the National Tax Information dictate that eligible costs are strictly limited to direct, documented expenditures.

Category	Specific Expenditure	Deductibility Status	Rationale / Source
Eligible Costs (Deductible)	Fiat currency expended to acquire cryptocurrency.	Fully Deductible	Represents the core acquisition cost basis.[16]
	Exchange commissions and broker fees during purchase.	Fully Deductible	Direct cost of acquisition.[2]
	Network	Fully Deductible	Direct transactional

	transaction fees (gas fees) directly tied to acquisition or fiat realization.		necessity.[2]
Excluded Costs (Non-Deductible)	Interest on loans, credit cards, or margin utilized to finance crypto purchases.	Strictly Non-Deductible	Viewed as a cost of financing, not a direct asset cost.[5]
	Expenditures on mining equipment (ASIC miners, GPUs, server racks).	Strictly Non-Deductible	Classified as indirect business expenses, not asset acquisition costs.[15]
	Electricity consumed during the Proof-of-Work mining process.	Strictly Non-Deductible	Supreme Administrative Court (NSA) ruled these are indirect operational costs.[15]
	Fees associated strictly with crypto-to-crypto swaps.	Strictly Non-Deductible	As the event is tax-neutral, intermediate swap fees cannot be isolated as deductible.[5]
	Costs of educational courses, trading seminars, literature, or hardware wallets (e.g., Ledger, Trezor).	Strictly Non-Deductible	Lacks direct causal link to the acquisition of a specific digital asset.[5]

The explicit exclusion of mining equipment and electricity is supported by a significant and consistent body of individual tax interpretations and binding judgments from the Supreme Administrative Court (NSA). The court maintains that these outlays constitute indirect costs of generating an asset via a production process, rather than the direct financial acquisition costs

intended to be protected by the PIT-38 capital gains framework.[24]

4. Cross-Border Complexities: Transitioning Tax Residency from Sweden to Poland

The taxpayer's transition of primary residence from the Kingdom of Sweden to the Republic of Poland introduces profound jurisdictional boundaries. These boundaries are regulated by the domestic laws of both respective nations, overlaid by the dictates of the OECD Model Tax Convention, specifically localized as the Poland-Sweden Double Taxation Treaty.[27] Navigating this transition requires identifying exactly when fiscal sovereignty shifts and how historical data is treated post-transition.

4.1. Tax Residency and the Scope of Fiscal Jurisdiction

Under the Polish Personal Income Tax Act, unlimited tax liability—the definition of full tax residency—is established if a taxpayer meets either of two fundamental criteria: they physically stay within the borders of Poland for more than 183 days in a given tax year, or they establish their primary center of personal or economic interests (vital interests) within the Polish territory.[29]

Once tax residency is successfully transferred—for instance, during the mid-point of the calendar year 2023 as indicated in the query context—Poland assumes the sovereign right to tax the individual's worldwide income from that specific date forward.[6] For the chronological period encompassing 2020, 2021, and 2022, the taxpayer was a formalized resident of Sweden. Consequently, during that entire epoch, the taxpayer was subject exclusively to Swedish tax jurisdiction regarding their capital gains, and Polish fiscal authorities held absolutely no claim, visibility, or jurisdiction over those fiscal years.

4.2. The Non-Transferability of Realized Swedish Losses

A critical legal determination must be made regarding the specific "loss of ~461 PLN" incurred in 2020 while the taxpayer resided in Sweden.

A realized loss inherently implies that a finalized taxable event occurred; the cryptocurrency was formally sold or disposed of for fiat currency at a value lower than its original acquisition cost. Because this taxable event occurred entirely under Swedish jurisdiction, the financial outcome was finalized according to the dictates of Swedish tax law. The Swedish fiscal system, administered by *Skatteverket*, operates on fundamentally different principles than the Polish system. In Sweden, cryptocurrency trading losses can be utilized to offset exactly 70% of cryptocurrency profits within the confines of the *same* tax year.[7] However, Swedish tax law explicitly and strictly prohibits the carry-forward of cryptocurrency losses to any future tax years.[8]

Even in a hypothetical scenario where the Swedish system did permit a carry-forward mechanism, a realized foreign tax loss cannot be unilaterally imported into the Polish PIT system after a residency change.[6] The mathematical logic of the Polish PIT-38 form is designed to track

the actual "costs of acquiring virtual currencies." If a specific cryptographic asset was already sold while in Sweden, that asset is no longer held by the taxpayer, and the financial cost associated with acquiring it has already been legally consumed by the Swedish tax event. Attempting to claim the costs of an already-sold asset on a Polish tax return constitutes an invalid fiscal claim and a form of tax evasion commonly referred to as double counting.[6] Therefore, the 461 PLN loss from 2020 is permanently extinguished and holds zero relevance to the Polish tax calculations.

4.3. The Importation and Protection of Unrealized Historical Costs

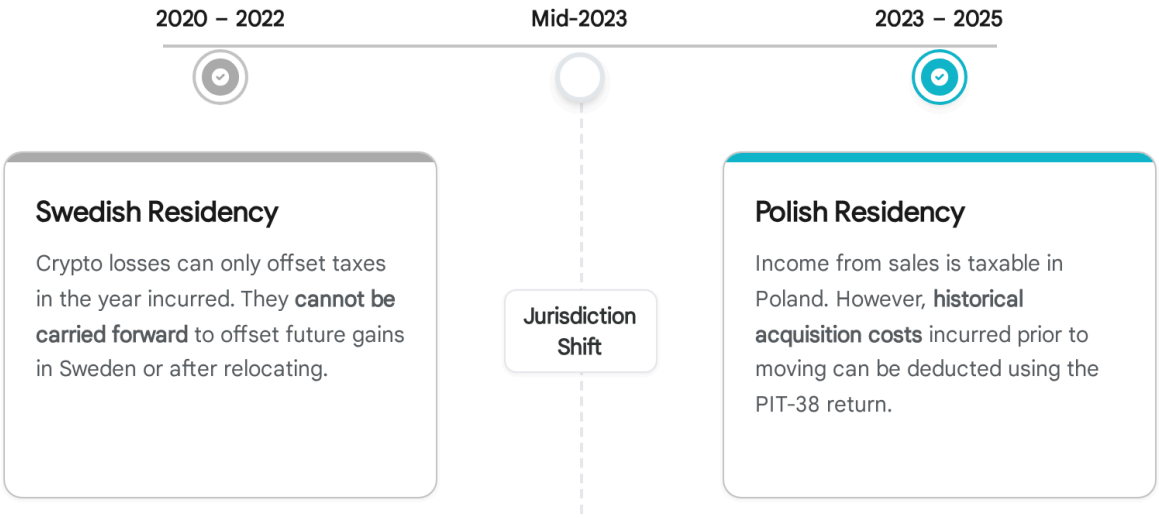
A starkly different and highly advantageous rule applies to cryptocurrencies that were *purchased* while the taxpayer was a resident of Sweden, but which were *held* (unsold) in their portfolio until after the taxpayer officially became a Polish resident.

When the taxpayer eventually decides to sell these retained assets while residing under Polish jurisdiction, the Polish revenue authorities will assess and tax the resulting gain. However, to accurately and legally calculate this taxable gain, the taxpayer is legally entitled to deduct the true historical acquisition costs of those specific assets, regardless of the fact that the actual fiat expenditure occurred chronologically prior to the acquisition of Polish tax residency, and geographically in a foreign banking jurisdiction.

This vital protective principle has been definitively upheld in Polish administrative jurisprudence. A highly notable and precedent-setting ruling by the Provincial Administrative Court (WSA) confirmed that a change in tax residency does absolutely not override a taxpayer's fundamental right to account for their historical acquisition costs.[6] The court clearly articulated that while income from the sale of cryptocurrencies executed by a Polish resident is universally taxable in Poland regardless of where the asset was originally acquired, concurrently, the documented costs of that specific acquisition remain entirely valid. These historical costs are fully deductible on the Polish PIT-38 return, provided they have not already been utilized to offset taxes or claim deductions in another country prior to the residency shift.[6]

Therefore, any cryptocurrency purchased utilizing SEK or EUR via Swedish bank accounts between 2020 and 2022 that remained in the taxpayer's cold storage or exchange portfolio, and was subsequently sold in 2023 or later, possesses a completely valid, uncompromised cost basis in Poland. The original foreign currency purchase price must simply be converted into Polish Zloty (PLN) utilizing the average exchange rate published by the National Bank of Poland (NBP) from the last business day immediately preceding the day the purchase was made.[1] This converted PLN figure constitutes the deductible cost under Polish law.

Cross-Border Tax Residency Transition: Sweden to Poland



Timeline illustrating the shift in tax jurisdiction. Realized losses during Swedish residency do not carry forward into the Polish system, whereas Polish rules govern all transactions subsequent to the mid-2023 residency shift.

Data sources: Nexia Advice, Kancelaria Skarbiec, Divly, CMS Law

5. Procedural Mechanics: Completing and Correcting the PIT-38 Declaration

The realization of the perpetual cost rollover mechanism relies entirely on strict, unwavering adherence to Polish procedural rules regarding the annual filing of the PIT-38 tax declaration. The system requires unbroken, mathematical continuity; an acquisition cost must be formally declared and registered in the fiscal system in the year it occurs to be utilized in the future.

5.1. The Absolute Requirement of Annual Reporting (Even Without Revenue)

A widespread and highly detrimental procedural error among retail cryptocurrency investors is the assumption that a tax return is only required to be filed in years where a profitable sale to fiat currency actually occurs. The Polish fiscal framework absolutely rejects this premise.

According to the specific dictates of Article 30b ust. 6a of the PIT Act, taxpayers are legally

obligated to report the costs of acquiring virtual currencies in their annual tax return for the specific calendar year in which those fiat expenses were incurred, utterly irrespective of whether any revenue was generated during that same period.[1]

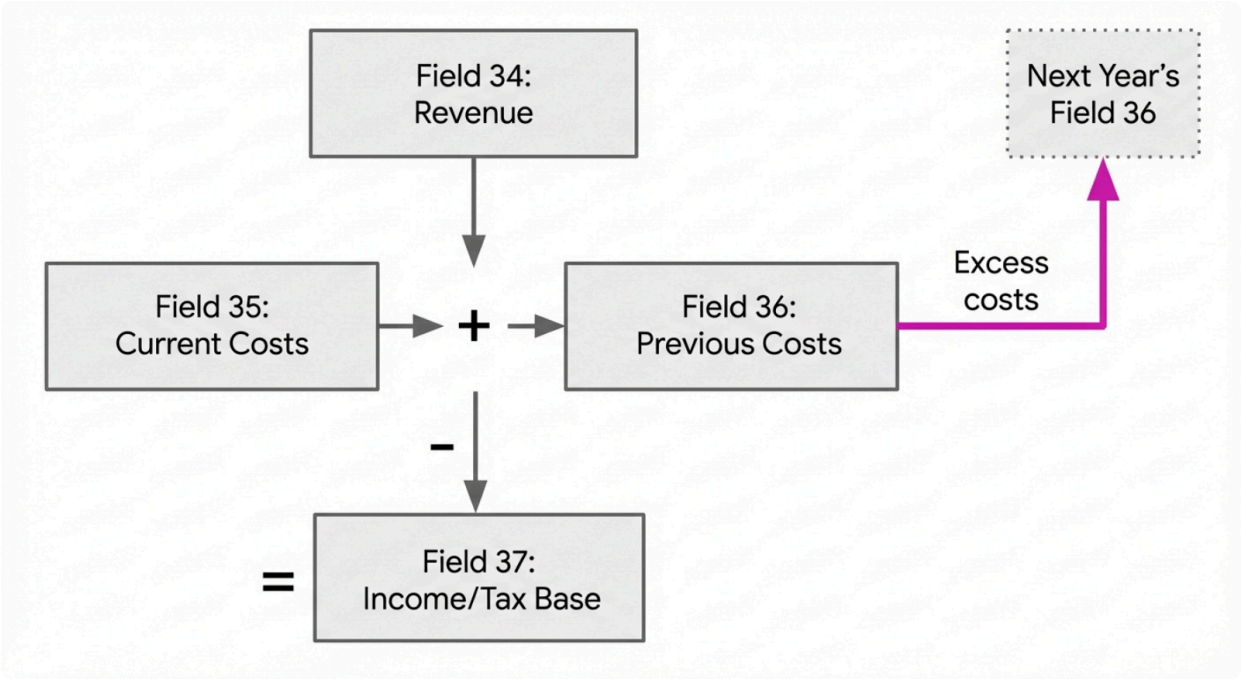
For example, if a taxpayer purchases 20,000 PLN worth of cryptocurrency in 2025 and decides to hold the asset without executing a single sale, they must still file a PIT-38 return for the year 2025. On this return, they will declare zero revenue, but will list the 20,000 PLN as an acquisition cost.[1] This procedural action legally validates the expenditure, transforms it into an officially recognized "excess of costs," and anchors it firmly within the tax authority's central database. This allows the 20,000 PLN to legally transition into the "costs from previous years" category on the 2026 declaration. Failure to report the cost in the exact year of inception theoretically breaks the chain of continuity, and tax authorities hold the right to reject the deduction during a subsequent audit in the year the asset is finally sold, citing procedural non-compliance.[2]

5.2. The Anatomy of PIT-38 (Part E)

The reporting of virtual currencies occurs exclusively in a dedicated, isolated section of the PIT-38 form: Part E (or its equivalent depending on the specific year's form iteration issued by the Ministry of Finance).[30] The structural logic of this specific section mathematically automates the rollover mechanism, ensuring the ring-fencing principle is upheld.

- **Field 34 (Current Year Revenue):** The sum of all fiat values obtained from the sale, exchange for goods, or disposal of cryptocurrencies during the current tax year.[32]
- **Field 35 (Current Year Costs):** The sum of all fiat values directly expended to purchase cryptocurrencies during the current tax year, inclusive of all associated exchange transaction fees and commissions.[32]
- **Field 36 (Costs from Previous Years):** This is the critical, continuous rollover field. The taxpayer must input the exact numerical value of the "excess of costs over revenues" that was generated and finalized on the previous year's PIT-38 declaration.[31]
- **Field 37 (Taxable Income):** This field represents the final taxable base. Mathematically, the form dictates that Field 37 is the result of Field 34 minus the combined sum of (Field 35 + Field 36). If the resulting calculation is a positive number, this figure constitutes the income subject to the flat 19% tax rate. Crucially, if the combined sum of costs (Field 35 + Field 36) exceeds the total revenue (Field 34), Field 37 is left blank or zeroed out. The mathematical difference between the costs and the revenue is not written as a negative number in Field 37; rather, it becomes the new, calculated "excess cost" balance. The taxpayer must maintain their own records of this unabsorbed deficit, as they will manually enter this exact figure into Field 36 on the subsequent year's PIT-38 form to continue the rollover.[1]

Anatomy of PIT-38 (Part E): Cryptocurrency Settlement Flow



Flow diagram demonstrating the calculation of cryptocurrency income on the PIT-38 form. Current year costs (Field 35) and unresolved previous year costs (Field 36) are aggregated to offset total revenue (Field 34).

5.3. The Korekta (Correction) Mechanism for Omitted Historical Costs

Given the strict requirement for chronological continuity, a taxpayer who failed to report their legitimate acquisition costs in previous years—perhaps out of ignorance of the requirement to file during years without sales—faces a structural dilemma. If historical fiat costs incurred in 2023 or 2024 were not formally declared on those respective year's PIT-38 forms, they cannot arbitrarily be injected into the 2025 or 2026 declaration without precedent.

However, the Polish Tax Ordinance (*Ordynacja podatkowa*) provides a highly robust and essential remedy: the right to retroactively correct a tax return (*korekta zeznania*). A taxpayer is legally permitted to file a corrected PIT-38 for any past tax year up to the absolute point of statutory limitation. This limitation period generally expires five years from the end of the calendar year in which the original tax payment deadline occurred.[9]

To legally and safely import previously omitted acquisition costs into the current fiscal reality, the taxpayer must engage in a process of cascaded corrections:

1. **Initiating the Chain:** The taxpayer must first file a corrected PIT-38 for the earliest fiscal year in which the omission occurred (e.g., the year 2023, immediately following the shift in residency from Sweden). The correction will introduce the previously omitted

acquisition costs directly into Field 35 of that specific year's form.

2. **Generating the Surplus:** This retroactive correction will mathematically generate a formalized excess of costs for the year 2023, altering the closing balance of that year.
3. **Cascading the Correction:** The taxpayer must then immediately file a corrected PIT-38 for the subsequent year (2024). They must insert the newly established 2023 excess cost figure into Field 36 (Previous Costs) of the 2024 form, combining it mathematically with any transactions that actually occurred in 2024, thereby establishing a new, correct closing balance for the end of 2024.
4. **Achieving Current Compliance:** This cascading correction process painstakingly reconstructs the mathematical chain of custody within the KAS databases. It provides a legally sound, fully auditable cost balance to legitimately carry forward into the 2025 declaration.

This retroactive correction process is entirely legal and is not inherently penalized with fines, provided it is initiated and submitted voluntarily by the taxpayer prior to the initiation of any formal tax audit or investigation by the authorities. When submitting a chain of corrections, it is standard professional practice to append a brief, formal written explanation (*czynny żal* or standard justification attachment) to the correction suite, concisely detailing that the updates reflect the inclusion of newly accounted historical acquisition costs that were previously omitted due to administrative oversight.

6. Comprehensive Case Study: Year-by-Year Resolution and Forecasting

Applying the established legal doctrines, cross-border precedents, and procedural mechanisms to the specific chronological timeline of the taxpayer provides a definitive, unassailable roadmap for fulfilling their fiscal obligations.

6.1. The Swedish Period (2020 - 2022)

- **2020 (The Dead Loss):** A realized loss of ~461 PLN occurred while the taxpayer was domiciled in Sweden. Because this was a finalized taxable event executed under foreign jurisdiction, and Swedish law inherently prohibits cryptocurrency carry-forwards to future years, this loss is permanently extinguished.[6] It has absolutely zero bearing on Polish tax obligations and must be entirely excluded from any Polish calculations or forms to avoid allegations of double counting.
- **2021 & 2022 (Foreign Gains):** The taxpayer realized net gains in Sweden amounting to ~31,000 PLN and ~150,000 PLN, respectively. These financial events were strictly taxable in Sweden. Provided the taxpayer meticulously maintained their Swedish residency and their absolute center of vital interests entirely outside of Poland during this period, these gains are invisible to the Polish tax system and carry no Polish tax liability.
- **The Status of Unsold Assets:** Any cryptocurrency acquired via fiat purchase during the 2020-2022 period that remained completely unsold within the taxpayer's portfolio constitutes a dormant, highly valuable tax asset. The fiat value originally expended to

acquire these specific assets—carefully converted from SEK or EUR to PLN at the historical NBP rate corresponding to the purchase dates—must be meticulously recorded. This sum forms a historical cost base, held in reserve, ready to be activated upon the initiation of Polish residency.

6.2. The Transition and Early Polish Residency (2023 - 2024)

- **2023 (The Transition Year):** The taxpayer established full Polish residency mid-year, triggering unlimited Polish tax liability from that precise date forward. During the second half of the year, while operating as a Polish resident, a net gain of ~146,000 PLN was realized. This specific gain is fully taxable in Poland at the flat 19% rate.[6] To legally minimize this substantial tax burden, the taxpayer was legally entitled to offset this 146,000 PLN gain against the historical acquisition costs of the specific assets that were sold to generate it, including the activation of the costs of assets brought over from the Swedish period. If the taxpayer failed to report the full extent of these historical costs on their original 2023 PIT-38 filing, a *korekta* must be filed immediately to retroactively lower the 2023 tax base, which could result in a legitimate claim for a refund of overpaid taxes.
- **2024 (Standard Operations):** A minor net gain of ~3,000 PLN occurred. This requires standard, routine reporting on the PIT-38 form. Any excess costs generated by the potential corrections stemming from 2023 would automatically cascade into this year. For example, if the 2023 corrections revealed a massive backlog of historical costs that dwarfed the 146,000 PLN gain, the remainder would easily eliminate the tax liability on this 3,000 PLN gain, leaving a residual surplus to be carried forward yet again.

6.3. The Year of the Loss and Future Projections (2025 - 2030)

- **2025 (Generation of Excess Costs):** The current operational year demonstrates an anticipated loss—technically, an excess of costs—amounting to ~15,000 PLN. This scenario arises mathematically because the fiat capital deployed to acquire cryptocurrencies in 2025, combined with exchange fees, exceeded the fiat revenue withdrawn from any sales executed during the year.
- **Filing the 2025 Declaration (Statutory Deadline: April 30, 2026):** To secure this deficit, the taxpayer must file a standard PIT-38. Field 34 will accurately reflect whatever minor 2025 revenues occurred. Field 35 will reflect the massive 2025 acquisition costs. The resulting calculation will yield a negative figure of 15,000 PLN. Field 37 (Income) must be marked as 0. The taxpayer will pay 0 PLN in capital gains tax for 2025, but the 15,000 PLN figure is now officially recognized.[1]
- **2026 and Beyond (The Rollover Execution):** When filing the PIT-38 for the fiscal year 2026 (which occurs in early 2027), the taxpayer will actively input the 15,000 PLN surplus generated and recorded in 2025 directly into Field 36 (Costs from previous years).[31]
- **Unrestricted Application:** If the taxpayer subsequently generates 10,000 PLN in revenue in 2026, the 15,000 PLN cost from Field 36 fully absorbs that revenue. The tax liability is reduced to absolute zero. The remaining 5,000 PLN cost mathematically rolls

over to 2027. There is absolutely no 50% limit enforced; the taxpayer is not required to arbitrarily split the 15,000 PLN across two years to comply with standard capital gains rules.[1] Furthermore, there is no five-year expiration clock ticking. If the taxpayer decides to cease trading and no sales occur until the year 2035, that 15,000 PLN cost basis remains entirely valid, lying dormant but potent, waiting to offset future fiat realization events.

7. Evidentiary Standards and International Transparency Imperatives

The formidable ability to indefinitely carry forward significant acquisition costs necessitates a correspondingly rigorous standard of evidence. Tax authorities will undoubtedly demand comprehensive, airtight proof of expenditure during any compliance audit—a scenario that is being rendered increasingly likely, if not inevitable, by sweeping new European Union directives.

7.1. The Burden of Proof and Transactional Documentation

Under the Polish Tax Ordinance, the burden of proof rests squarely on the shoulders of the taxpayer to justify any deduction that lowers their final tax base. In the opaque realm of decentralized finance and global cryptocurrency exchanges, where counterparties are often pseudonymous, possessing pristine documentary evidence is paramount.

To survive fiscal scrutiny, valid documentation must comprehensively encompass the entire lifecycle of the asset. The tax office specifically expects the taxpayer to be able to produce:

1. **Strict Bank Traceability:** Official confirmations of fiat transfers moving from a personal, identically named bank account directly to the recognized cryptocurrency exchange or broker.[1]
2. **Platform Trade Logs:** Raw electronic statements, CSV database exports, and complete trade histories generated natively by the exchange platform. These logs must explicitly detail the date, exact time, trading pair utilized, digital volume acquired, unit price, and the total fiat equivalent of every transaction.[1]
3. **Currency Conversion Protocols:** For transactions executed natively in foreign currencies (e.g., depositing USD, EUR, or SEK while operating on a foreign exchange like Binance or Kraken), the taxpayer must possess verifiable records demonstrating the correct conversion into Polish Zloty (PLN). Polish tax law strictly mandates the utilization of the average exchange rate published by the National Bank of Poland (NBP) from the last business day immediately preceding the date the transaction occurred.[1] Utilizing real-time exchange rates or end-of-year averages is non-compliant and will result in recalculations and potential penalties during an audit.

Crucially, the entire history of intermediate crypto-to-crypto swaps must be meticulously preserved. While these specific swaps are tax-neutral events that do not trigger immediate taxation, they represent the vital chronological chain of custody. This chain is absolutely

necessary to prove the origin and the original fiat cost basis of a specific digital asset when it is finally sold for fiat currency years later.[16] If the chain is broken by missing swap data, the tax authority may refuse to recognize the original fiat cost, effectively treating the final sale as having a cost basis of zero, thereby taxing the entire revenue amount.

7.2. The Implementation of DAC8 (Crypto-Asset Reporting Framework)

The strategic necessity of maintaining meticulous, audit-ready record-keeping is currently being amplified to an unprecedented degree by the impending implementation of the DAC8 Directive (Directive on Administrative Cooperation) across the entire European Union. Scheduled to take full, unmitigated effect by January 1, 2026, DAC8 formally enacts the OECD's global Crypto-Asset Reporting Framework (CARF) into binding European law.[11]

Historically, cryptocurrency investors have operated under a profound asymmetry of information. Domestic tax authorities largely lacked the technical capability or legal mandate to obtain automated visibility into accounts held on foreign or decentralized exchanges. DAC8 entirely dismantles this era of opacity. From 2026 onward, all Crypto-Asset Service Providers (CASPs) operating within the EU—irrespective of their specific member state of registration—will be legally mandated to automatically report highly detailed user data, account balances, and gross transaction volumes directly to the tax authorities of the user's declared country of residence.[11]

Consequently, the Polish National Revenue Administration (KAS) will begin receiving massive, automated algorithmic data feeds detailing the holdings, trades, and specifically the fiat off-ramps of all Polish residents operating on global platforms. This incoming tidal wave of data will be automatically and systematically cross-referenced against the manual declarations made by taxpayers on their annual PIT-38 forms.

Anomalies will be flagged by automated systems. For example, significant fiat withdrawals (revenues) reported by an exchange that are unmatched by corresponding historical cost declarations on the PIT-38, or conversely, the sudden, unverified claiming of massive historical costs that lack a prior chronological reporting trail, will automatically trigger deep fiscal audits. For the taxpayer analyzed in this report, the DAC8 framework guarantees that their entire transaction history across European exchanges will shortly be highly visible to Polish authorities. Therefore, the preemptive structuring of their tax history through the meticulous *korekta* process—ensuring that the 2025 cost surplus and all pre-2023 historical acquisition costs are perfectly mapped, chronologically logical, and documented on the sequence of PIT-38 forms—is no longer merely optimal tax planning; it is an absolute, unavoidable requisite for maintaining legal compliance.

8. Conclusion

The comprehensive analysis of the Polish cryptocurrency tax regime reveals a systemic architecture that is fundamentally distinct from the taxation rules governing traditional capital markets. The legislative framework, specifically the mechanisms outlined within Article 22 ust.

14-16 of the PIT Act, provides a highly favorable, uniquely structured mechanism for investors experiencing market downturns or accumulating asset positions over long periods. By divorcing virtual currencies from the restrictive limitations of Article 9 ust. 3, Poland has created an environment that allows for the infinite preservation of investment costs.

However, this systemic leniency regarding the duration and volume of cost carry-forwards is counterbalanced by an intensely rigid procedural requirement for annual reporting and an increasingly aggressive stance on international data transparency. The taxpayer's ability to legally shield future, potentially massive cryptocurrency gains from taxation relies entirely on their willingness to meticulously document their financial history, understand the precise boundaries of their shifting tax residency, and strictly adhere to the mechanical filing requirements of the PIT-38 declaration. By executing the necessary retroactive corrections and maintaining an unbroken chain of custody for their digital assets, the taxpayer can fully optimize their fiscal position while remaining completely compliant with both domestic Polish law and impending European Union reporting standards.

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